assign a higher price and a lower yield to the Union Pacific First Mortgage 4s than they did to the U.S. Treasury's own Fourth Liberty 4¼s. Graham writes of the "inveterate tendency of the stock market to exaggerate." (Chap. 50) He would not have exaggerated much if he had written, instead, "all markets."

Though he did not dwell long on the cycles in finance, Graham was certainly aware of them. He could see that ideas, no less than prices and categories of investment assets, had their seasons. The discussion in *Security Analysis* of the flameout of the mortgage guarantee business in the early 1930s anticipates the cyclically recurrent race to the bottom in today's equity and credit markets. Graham writes of his time and also of ours:

> The rise of the newer and more aggressive real estate bond organizations had a most unfortunate effect upon the policies of the older concerns. By force of competition they were led to relax their standards of making loans. New mortgages were granted on an increasingly liberal basis, and when old mortgages matured, they were frequently renewed in a larger sum. Furthermore, the face amount of the mortgages guaranteed rose to so high a multiple of the capital of the guarantor companies that it should have been obvious that the guaranty would afford only the flimsiest of protection in the event of a general decline in values. (Chap. 17)

Security analysis itself, too, is a cyclical phenomenon, as Graham observed. In season, it holds a strong, intuitive appeal for the kind of businessperson who thinks about stocks the way he or she thinks about his or her own family business. What would such a fount of common sense care about earnings momentum or Wall Street's pseudo-scientific guesses about the economic future? Such an investor, appraising a common stock, would much rather know what the company behind it is worth. That is, he or she would want to study its balance sheet. Well,